Indian Tax Structure

Tax basics and who can levy what

Tax: compulsory payment imposed by law, without a direct individual quid pro quo; finances public services and redistribution. **Article 265:** no tax without authority of law. Tax powers are distributed constitutionally; local bodies exercise powers delegated by state law.

Level	Main examples
Union	Non-agricultural income tax, corporation tax, customs, central excise on retained products, CGST and IGST
State	SGST, excise on alcohol for human consumption, stamp/registration charges, vehicle/profession/electricity taxes, agricultural income tax where levied
Local	Property tax and other levies authorised by state law

SGST belongs to states, not the Union. IGST is levied/collected by the Union and apportioned under law. A fee for a service and a non-tax receipt are not automatically taxes.

Classification	Meaning / example
Direct	Legal liability generally stays with the person assessed: income/corporation tax
Indirect	Collected from one person, typically passed through prices: GST/customs
Progressive	Average burden rises with income; higher marginal slabs
Proportional	Same percentage of the tax base at all levels
Regressive	Burden falls as a share of income as income rises; consumption taxes may be regressive relative to income
Degressive	Progression weakens or stops beyond a level; textbook variant
Specific	Fixed amount per physical unit/weight/volume
Ad valorem	Percentage of value

Impact: initial payer. **Incidence:** final economic burden. Actual incidence depends on supply/demand elasticities; even a direct tax can be partly shifted. **Marginal rate** applies to the next rupee; **average rate** = total tax / total income. Entering a higher slab does not tax all income at that higher rate.

Personal income tax and Income-tax Act, 2025

Personal income tax covers eligible income of individuals, HUFs, firms and other non-company persons. Heads: salary, house property, business/profession, capital gains and other sources. Agricultural income is treated separately; poultry/wool-rearing income is not automatically exempt agricultural income.

Income-tax Act, 2025: received assent in August 2025; effective **1 April 2026**, replacing the 1961 Act for new tax years while preserving the old law for earlier periods/proceedings. **Tax year** = twelve months beginning 1 April; replaces the previous-year/assessment-year distinction for the new Act. Simplifies language, removes obsolete provisions and uses tables/formulae; does not itself imply every tax rate changed. Includes virtual digital assets in capital-asset terminology and consolidates procedures. **536 sections**; avoid the source's misleading claim that the 1961 Act had exactly 800 sections.

Income-tax Act, 2025 as amended by Finance Act, 2026.

New personal-tax regime: slabs introduced in Budget 2025

Annual taxable income band	Marginal rate
Up to ₹4 lakh	Nil
₹4-8 lakh	5%
₹8-12 lakh	10%
₹12-16 lakh	15%
₹16-20 lakh	20%
₹20-24 lakh	25%
Above ₹24 lakh	30%

Eligible **resident individuals** with ordinary taxable income up to **₹12 lakh** receive rebate, subject to conditions; this is not a ₹12-lakh nil-rate slab. With **₹75,000 standard deduction**, eligible salaried ordinary income can reach **₹12.75 lakh** without income tax. Special-rate income such as capital gains is excluded from this blanket claim. Marginal relief may apply just above the rebate threshold. Cess/surcharge are separate where applicable. Finance Act, 2025 highlights.

Updated return (ITR-U): window expanded to **48 months**; the source incorrectly calls this a four-year revised-return deadline. Revised and updated returns are distinct. ITR-U generally cannot increase a refund, reduce liability or enhance a loss; additional tax applies. Income-tax return FAQs.

Corporation tax, MAT and transaction taxes

Corporate route	Basic rate / conditions
Normal domestic company regime	25% for qualifying turnover up to ₹400 crore in the prescribed reference year; otherwise 30%, plus applicable surcharge/cess
Concessional regime (2019 reform)	22%, subject to giving up specified deductions; standard effective rate 25.168% with 10% surcharge and 4% cess
Eligible new manufacturing companies	15%, subject to incorporation/commencement and other conditions; standard effective rate 17.16%; manufacturing commencement deadline was 31 March 2024

Do not apply the source's old **₹250-crore** turnover cut-off to every current year. Tax residence, not just registration, determines worldwide-income taxation. Foreign companies have different rules/rates. Concessional corporate regimes are distinct from individual old/new regimes.

Minimum Alternate Tax (MAT)

Why: profitable companies using concessions should not become 'zero-tax companies'. Compare normal tax with tax on adjusted **book profit**; pay the higher where MAT applies. First introduced in 1987, withdrawn in 1990, reintroduced from **1 April 1997**.

- Historical ordinary MAT: **18.5%**, reduced to **15%** in 2019.
- **Tax year 2026-27 onward:** ordinary MAT **14%**, plus applicable surcharge/cess; special IFSC provisions differ.
- No new MAT credit accumulation from **1 April 2026**. Domestic companies shifting to the concessional regime can use eligible pre-April-2026 credit, generally capped at **25% of tax liability**, within its original **15-year** limit. Foreign-company set-off rules differ.
- MAT does not apply to companies opting for the specified concessional corporate regimes. Book profit ≠ taxable income ≠ turnover.

Current MAT guidance; Budget 2026 corporate-regime FAQs.

STT, CTT and abolished taxes

Securities Transaction Tax (STT): introduced in 2004; on specified securities transactions, not every financial asset. Delivery-based equity transactions generally attract 0.1% on each eligible purchase/sale; equity-fund redemption has separate treatment.

Derivative STT	Up to 31 March 2026	From 1 April 2026
Sale of futures	0.02%	**0.05%**
Sale of options (premium)	0.10%	**0.15%**
Exercised options (intrinsic value)	0.125%	**0.15%**

Futures/options sale is charged to seller; exercised-option STT to purchaser. The changed rates began **1 April**, not the Budget announcement date of 1 February. NSE STT computation.

Commodity Transaction Tax (CTT): on specified exchange-traded commodity derivatives, notably non-agricultural derivatives; proposed in 2008 but introduced operationally in **2013**, not continuously levied since 2008.

Historical tax	Remember
Dividend Distribution Tax	Company-side dividend tax; abolished from **1 April 2020**; dividends generally taxable for recipient
Banking Cash Transaction Tax	0.1% on specified non-savings cash withdrawals; introduced 2005, abolished 2009; a 2017 committee proposal did not revive it
Fringe Benefit Tax	Employer-side tax on specified benefits, introduced 2005; abolished 2009
Wealth tax	1% on eligible net wealth above ₹30 lakh under final historical threshold; abolished from **AY 2016-17** (FY 2015-16)
Angel tax	Tax on specified share premiums above fair value, introduced 2012; abolished for all investor classes from **AY 2025-26**

Profession tax: state/local levy under **Article 276**; constitutional ceiling **₹2,500 per person per year**. Its name does not mean it applies only to formally licensed professions.

Capital gains, indexation and buybacks

Capital gain: profit from transfer of a capital asset. Capital assets generally include property/securities; exclude stock-in-trade/raw materials, qualifying personal effects and **rural agricultural land**. Jewellery, art and specified collections are not exempt merely as personal effects. Rural-land status uses municipality population and distance rules (2/6/8 km as applicable), not a universal eight-kilometre rule.

Holding-period rule for transfers from 23 July 2024	Classification
Specified listed securities/equity-oriented fund units	Up to 12 months short-term; above 12 months long-term
Most other assets, including land/building, unlisted shares and physical gold	Up to 24 months short-term; above 24 months long-term

Special deeming rules apply to specified debt funds, market-linked debentures and certain bonds; the two-period rule is not universal. The source's **36-month physical-gold** rule is historical. Holding-period guidance.

23 July 2024 changes: specified equity STCG **15% → 20%**; specified equity LTCG **10% → 12.5%**, with annual exempt gains threshold **₹1 lakh → ₹1.25 lakh**. General LTCG rate becomes **12.5% without indexation**, subject to exceptions. Ordinary STCG may be taxed at normal applicable rates. Income-source tax treatment.

Indexation: inflation-adjust acquisition cost using the Cost Inflation Index; reduces nominal gain to recognise inflation. Indexed cost = original cost × CII in transfer year / CII in acquisition year (subject to base-year rules).

Grandfathered property relief: resident individuals/HUFs transferring land/building acquired before **23 July 2024** get protection where **12.5% without indexation** exceeds **20% with indexation**. This is a tax-liability cap, not a universal option to use **12.5% with indexation** or carry forward old indexed losses. Capital-gain guidance.

Buyback taxation: three periods

Period	Treatment
Before 1 October 2024	Specified company-level buyback tax under earlier rules
1 October 2024-31 March 2026	Shareholder receipts treated as dividend; acquisition-cost loss treated separately
From 1 April 2026	Shareholder capital-gains treatment restored; additional promoter tax gives basic effective rates 22% for corporate promoters, 30% for other promoters

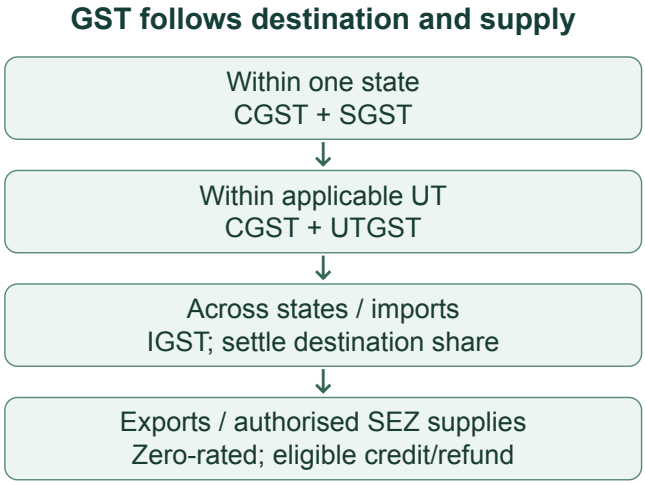
Rates exclude applicable surcharge/cess. The source incorrectly carries pre-October-2024 treatment forward to Budget 2026. Finance Act, 2026 amendments to the 2025 Act.

GST: timeline, Constitution and core mechanism

GST = destination-based, multi-stage tax on supply of goods/services with input tax credit. Taxable event is **supply**; eventual burden is on consumption. 'One Nation, One Tax' is a policy slogan, not a claim of one rate or one taxing authority.

Timeline: Kelkar task force recommendation (2003) → Budget 2006-07 proposed GST by April 2010 → discussion paper (2009) → 115th Amendment Bill (2011) → 122nd Amendment Bill (2014) → **101st Constitutional Amendment Act, 2016** → central/state GST laws (2017) → GST launched **1 July 2017**. The source's '101st Amendment Act, 2017' is incorrect.

Article / statute	Function
246A	Union/state GST legislative powers; Parliament exclusive for interstate supplies
269A	Interstate GST levy/collection and apportionment; imports treated as interstate supplies
279A	GST Council
CGST / IGST / UTGST Acts, 2017	Core central framework, alongside state SGST Acts
GST (Compensation to States) Act, 2017	Transitional revenue compensation



GST follows destination and supply

- **Intrastate:** CGST + SGST; CGST + UTGST in applicable UTs without legislatures. Total 18% can split 9% + 9%; this is an illustration, not a rate for all goods.
- **Interstate:** IGST; Union collects and settles destination-state share. Imports may bear basic customs duty plus IGST. Exports and supplies to SEZ developers/units **for authorised operations** are zero-rated.
- **Zero-rated ≠ nil-rated/exempt:** zero-rated supplies may retain input-credit/refund benefits subject to law; exempt supplies generally restrict attributable ITC.
- Not supply: employee services to employer in employment, funeral/burial/cremation services, sale of land and completed buildings subject to Schedule III conditions. Under-construction property can be taxable.

What GST subsumed and what survives

Subsumed (within GST scope)	Retained / outside or alongside GST
Service tax; most central excise; additional customs duties CVD/SAD	Basic customs duty and trade-remedy duties
State VAT/sales/purchase taxes on covered goods; CST	VAT/central excise on specified petroleum products pending GST levy
Luxury tax, entry/octroi, betting/gambling taxes, related cesses	Alcohol for human consumption: outside GST; state excise/VAT
Entertainment tax other than local-body levy	Property/stamp/vehicle/electricity taxes; local entertainment tax

Tobacco attracts GST **and** may attract central excise; do not classify it as outside GST. Five specified petroleum products: crude petroleum, petrol, high-speed diesel, natural gas and ATF; GST levy awaits the notified date recommended by the Council.

GST rates: separate old slabs from 2025 reform

Older mainstream structure: 5%, 12%, 18%, 28%, plus exemptions/special rates/cess. **56th Council, September 2025:** mainstream **5% merit + 18% standard**, special **40% demerit** rate; major changes effective **22 September 2025**, with specified tobacco products initially deferred. Exemptions and special rates remain: it is not literally only two rates for all supplies.

Revision examples	Useful distinction
Essentials / daily use	Many soaps, shampoo, hair oil, toothpaste and household articles reduced to 5%; not universally 18% as the source's older table says
Insurance	Individual life and health policies exempted, including relevant reinsurance; not every insurance contract exempt
Medicines / aids	Rate cuts and specified life-saving medicine exemptions; distinguish product-specific entries
Standard goods/services	Many industrial/professional supplies at 18%
Demerit / luxury	Specified vehicles, beverages, gaming and other notified supplies at 40%; not all cars or every tobacco product under an identical timeline
Precious metals/stones	Special rates remain; gold generally 3%, rough diamonds have specific rates

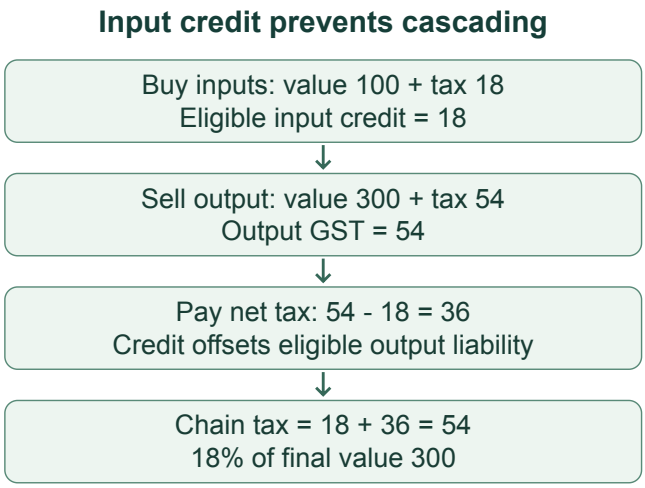
Fresh/unpackaged staples can be exempt; **pre-packaged and labelled** supplies may be taxable. Hospitality/apparel/footwear thresholds and product definitions matter; the supplied table combines different periods and should not be memorised wholesale.

56th Council reform decisions; official implementation note; clarifications and continuing special rates.

Input tax credit, registration and compliance

ITC = eligible tax paid on business inputs used to offset output GST. Prevents tax-on-tax cascading; depends on invoices, receipt, reporting/payment and other statutory conditions. Personal use and blocked-credit categories do not qualify.

Illustration at 18%: inputs ₹100 + ₹18 GST; sale ₹300 + ₹54 GST → net remittance **₹54 - ₹18 = ₹36**. Total tax through chain = ₹54 on final ₹300. This illustrates credit mechanics, not a prescribed product rate.



Input credit prevents cascading

Credit available	First use	Remaining eligible use
IGST	IGST	CGST and SGST/UTGST in permitted order/proportions; exhaust IGST credit first
CGST	CGST	IGST; **never directly SGST/UTGST**
SGST / UTGST	Same state/UT tax	IGST; **never directly CGST**

Interstate supplies do not create a blanket CGST↔SGST cross-credit exception. **Inverted duty structure:** higher input rate than output rate can accumulate credit and lock working capital; permitted refunds are conditional, not automatic. Customs duty inversion is a related but separate application.

- **Registration:** eligible exclusive goods suppliers may use **₹40-lakh** threshold in adopting states; generally ₹20 lakh elsewhere. Services generally ₹20 lakh, ₹10 lakh in specified states. Do not describe every northeastern/hilly state identically; compulsory-registration cases and exemptions alter the result.
- **Composition scheme:** qualifying small suppliers, generally preceding-year turnover up to **₹1.5 crore** (lower in specified states); service/mixed-supply scheme up to **₹50 lakh**, conditions apply. Not every taxpayer below the threshold is eligible; composition suppliers cannot generally collect GST separately or claim ITC.
- **E-invoice:** invoice details registered electronically to obtain IRN/QR; eligible turnover threshold **above ₹5 crore from 1 August 2023**, with exempt classes. Different from an e-way bill. GST IRP mandate.
- **E-way bill:** electronic movement document, generally for consignment value above **₹50,000**, subject to exceptions/state provisions; ordinarily one day per **200 km** or part thereof. The source's 'sale beyond 10 km' is not the general trigger; an invoice alone is not a replacement.
- **Reverse charge:** recipient pays for notified categories/imported services etc.; not every unregistered purchase is automatically under RCM. E-commerce operator liability under separate provisions is not always recipient reverse charge. **Self-invoice** is required in applicable notified unregistered-supplier cases.
- **Circular trading:** fake invoices without actual supplies to fraudulently claim ITC; evasion, not legitimate tax planning.

GST institutions and federal issues

Institution	Role
GST Council	Constitutional recommendation forum: rates, exemptions, model laws and related questions
GSTN	Non-profit technology backbone: registration, returns, payment, refunds, e-way bill/e-invoice support; fully government-owned, Centre/states 50:50
GSTAT	Statutory appellate tribunal under CGST section 109; hears appeals from appellate/revisional authorities; Principal Bench in New Delhi and state benches

Council: Union Finance Minister chairs; Union Minister of State (Revenue/Finance) and each state's nominated finance/taxation minister are members; states choose vice-chairperson. **Quorum = half** of total members. Decisions require **at least 3/4 of weighted votes** of members present and voting: Union **1/3**, states together **2/3**. Not 75% of an unweighted headcount. Council recommendations are not binding legislation by themselves (Supreme Court, *Mohit Minerals*, 2022).

Anti-profiteering: pass rate-cut/ITC benefits through commensurate price reductions. Historical NAA (chair + four members) → CCI from December 2022 → GSTAT Principal Bench for continuing matters. New applications stopped from **1 April 2025**; do not present NAA as the current standing body for new complaints. Restitution/Consumer Welfare Fund and judicial remedies arise under relevant law. 53rd Council decisions; GSTAT.

HSN: Harmonized System of goods classification, developed by WCO; international six-digit core, national extensions. **SAC:** Services Accounting Code for services. HS 2022 is the seventh edition, effective 1 January 2022; do not call SAC itself a globally adopted WCO commodity system.

Advance ruling: legal clarification on specified proposed **or ongoing** transactions; reduces uncertainty/litigation. Its binding scope is limited to the applicant and relevant authorities, not every taxpayer nationwide.

Compensation and assessment of GST

Compensation: five-year transition beginning July 2017, protected state revenue growth **14% annually over 2015-16 base**. COVID-19 reduced cess receipts and intensified disputes over shortfalls/borrowing. Original compensation entitlement period ended June 2022; later cess continuation for loan repayment is a separate issue.

Benefits: less cascading, common market, formalisation, invoice trail, easier interstate logistics and wider base. **Challenges:** multiple rates/classification, compliance costs for MSMEs, refund delays/working-capital lock-up, evasion/fake invoices, unsettled exclusions and federal revenue concerns. **Reforms:** simplification, rate rationalisation, higher small-business thresholds, composition, e-invoicing, better refunds and operational appellate institutions. Revenue increases must be judged against nominal growth, rates, compliance and state distribution.

Revenue-neutral rate: rate/structure that would preserve aggregate revenue relative to the earlier system under given assumptions; not necessarily an unchanged rate for every product or no price impact.

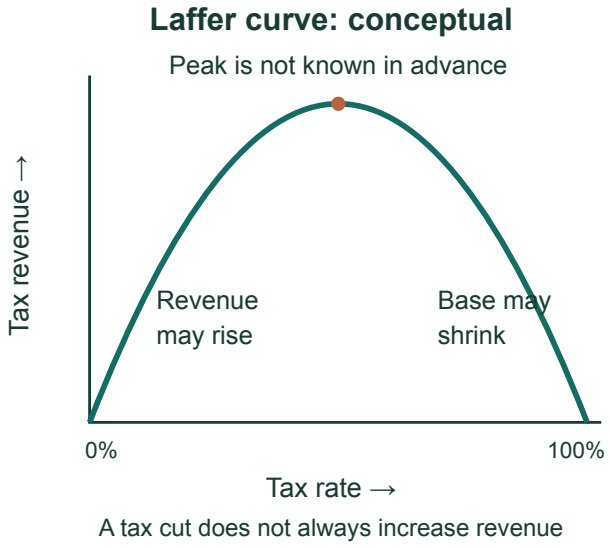
Other indirect taxes and economic ideas

- **Basic customs duty:** product-specific import levy; no universal 5-40% range. Social Welfare Surcharge is generally **10% of its prescribed duty base**, with exclusions/exemptions. The old **3% education-cess** claim is historical, not a universal current customs cess.
- **Anti-dumping duty:** below-normal-value imports causing material injury, following investigation. **Safeguard measures:** import surge causing/threatening serious injury; unfair pricing is not necessary. Customs Tariff Act, 1975 provides the framework.
- **Stamp duty:** specified documents/transactions; differs by state, alongside registration fees. **Road/motor-vehicle tax:** state levy, may depend on value, weight, seating/engine capacity; distinct from GST on purchase.
- **Sin tax:** tax on socially harmful consumption such as tobacco/alcohol; can discourage use and internalise costs. Not every harmful activity is legal or taxable in an identical way.
- **Pigouvian tax:** correct negative externalities, ideally aligned to marginal external cost. **Tobin tax:** proposed levy on short-term foreign-exchange transactions to curb speculation; not India's STT or a universal enacted tax.

Tax performance and Laffer curve

Tax-to-GDP ratio = specified tax revenue / nominal GDP × 100. State whether Union gross taxes, Union net taxes or general-government revenue is used. A larger ratio may indicate greater fiscal capacity; a fall alone cannot prove weaker growth or inequality because exemptions, policy and compliance also matter. OECD comparisons require comparable years and coverage.

Buoyancy = % change in tax revenue / % change in nominal GDP, including discretionary policy effects. **Elasticity** measures response to the tax base/income **after removing discretionary tax changes**. It is not simply response to a change in the tax rate. Above-one buoyancy means revenue grows faster than GDP.



The revenue-maximising rate is uncertain and context-dependent.

Laffer curve: conceptual inverted-U relation between rate and revenue; high rates may shrink the base through disincentives/avoidance/evasion. The revenue-maximising point is empirically uncertain; **15% is not a universal optimum**, and tax cuts do not always raise revenue. Revenue maximisation is not identical to

social welfare maximisation.

Tax expenditure: estimated revenue impact of exemptions, concessional rates, deductions, rebates, deferrals and credits relative to a benchmark. Like an implicit subsidy; not direct cash spending. India first presented a revenue-forgone statement in Budget **2006-07**, separately in 2007-08; now a statement of revenue impact of tax incentives. Assess targeting, additional investment, distribution and transparency. Examples: qualifying concessional corporation-tax routes, old-regime saving/housing deductions, charitable exemptions.

Tax terminology: one-line revision

Term	Meaning
Evasion	Illegal concealment/misreporting or non-payment
Avoidance	Arrangements exploiting law to reduce tax; may be defeated by anti-avoidance rules
Tax planning / shelter	Legitimate concessions/structures; benefits depend on jurisdiction and law
TDS / withholding	Payer deducts prescribed tax and remits; recipient generally gets credit
TCS	Collector collects prescribed tax on specified transactions; separate from TDS
Presumptive taxation	Simplified taxable-income computation for eligible small businesses/professions
Transfer pricing	Pricing transactions between associated enterprises
Arm's-length price	Comparable unrelated-party price/conditions; constrains profit shifting
Tax haven	Low tax plus other features such as secrecy; low tax alone is not sufficient
Inheritance / estate tax	Recipient's inheritance vs deceased person's estate; India has no general estate duty now
Grandfathering	Protects eligible earlier arrangements under transitional rules
EBIT	Net income + interest + tax; also operating revenue - operating expenses under consistent classification
EBITDA	EBIT + depreciation + amortisation; not cash flow or turnover

Tax administration, rights and anti-black-money measures

CBDT: direct-tax apex board. **CBIC:** indirect taxes/customs/GST/retained excise, formerly CBEC. Both are statutory under the **Central Boards of Revenue Act, 1963**, Department of Revenue, Ministry of Finance. The old combined board was divided in **1964**.

TARC: constituted 2013 under **Parthasarathi Shome**, reports from 2014; taxpayer services, organisational reform, ICT/data exchange, wider base, compliance management, capacity building, revenue forecasting and impact assessment. **Project Insight:** data integration/analytics to identify compliance risk and mismatches in

high-value transactions; PAN/Aadhaar linkage helps identity matching. Do not reduce it to universal social-media surveillance.

Taxpayers' Charter (2020): fair/courteous treatment, presume honesty unless evidence otherwise, accurate information, impartial appeals, time-bound decisions, correct tax, privacy/confidentiality and grievance redressal. Duties: honest/full disclosure, maintain records, respond to notices and pay/file on time.

Faceless reforms: e-assessment 2019; faceless assessment and appeals 2020; faceless penalty 2021. Digital allocation/review reduces physical interface but preserves lawful hearing/due process; these schemes already had statutory enabling provisions before the 2025 Act.

Vivad Se Vishwas: dispute settlement, first 2020 and second **2024**; second covered eligible appeals pending on **22 July 2024**. For new appellants, **100% of disputed tax OR 25% of disputed interest/penalty/fee**, depending on the dispute category, at the lower-payment deadline; not 100% tax **plus** 25% penalty in every case. Higher amounts applied later; do not use expired deadlines as open windows. CBDT 2024 scheme clarification.

Benami law: 1988 Act substantially amended in **2016**; property held by one person for another's benefit using the other's consideration, fictitious owners or untraceable payers, subject to statutory exceptions (specified family/fiduciary situations). Prohibited transactions can attract confiscation; qualifying offences **1-7 years rigorous imprisonment** and fine up to **25% of fair market value**.

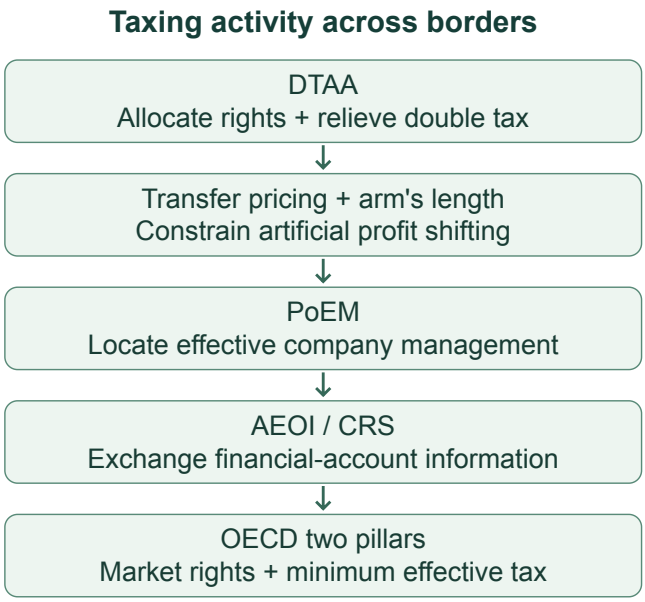
Black Money Act, 2015: undisclosed foreign income/assets of covered residents; **30% tax**, concealment penalty **three times tax** (=90% of asset/income, not 90% of the tax). Willful evasion can attract **3-10 years** imprisonment; filing/non-disclosure penalties have specific exceptions and thresholds. Do not apply every punishment automatically to every error.

Panama Papers (2016): leaked Mossack Fonseca offshore documents; Paradise Papers (2017) and Mauritius leaks (2019) exposed other offshore arrangements. Offshore incorporation is not itself proof of illegality; concealment, evasion and beneficial ownership require investigation.

Financial Secrecy Index: Tax Justice Network, first 2009; combines secrecy with scale of offshore activity. Historical **2022**: US first, Switzerland second, India 36th (47th in 2020). A lower rank is not automatically proof that secrecy improved because size and other jurisdictions also affect ranking.

International taxation: BEPS, DTAA and information exchange

BEPS (base erosion and profit shifting): arrangements exploiting gaps/mismatches to move taxable profits away from real activity. May involve transfer pricing, financing/intangibles, treaty shopping or artificial structures; not all BEPS is criminal evasion and not every shell company is unlawful.



Taxing activity across borders

- **DTAA:** allocates taxing rights and offers exemption/credit relief; supports investment. Abuse through treaty shopping/round-tripping requires anti-abuse rules; signing a DTAA does not automatically remove all tax.
- **PoEM:** place where key management/commercial decisions for the business as a whole are substantively made. Relevant to foreign-company residence; effective application from **AY 2017-18**, following Finance Act 2015 introduction. Incorporation address alone is insufficient.
- **AEOI:** regular automatic exchange of specified taxpayer/financial-account information; distinct from exchange on request. **CRS:** OECD common reporting standard for financial-account information. India participates in the Global Forum on Transparency and Exchange of Information for Tax Purposes; exchange is reciprocal under applicable agreements.
- **OECD/G20 two pillars:** Pillar One reallocates certain taxing rights toward market jurisdictions; Pillar Two aims at **15% effective minimum taxation** for in-scope large MNE groups (generally **€750-million revenue** threshold). Agreement is not universal automatic implementation on one date; national legislation and exceptions matter. OECD cross-border framework.
- **Equalisation levy:** separate Finance Act 2016 regime, not inserted as a tax under the Income-tax Act. Historical **6% online advertising** from 2016; **2% e-commerce** from April 2020 subject to threshold/conditions. **2% withdrawn from 1 August 2024; 6% withdrawn from 1 April 2025.** Credit under a DTAA was not automatically available for this separate levy. Income-tax Department equalisation-levy guidance.

Carbon Border Adjustment Mechanism (CBAM)

EU Regulation 2023/956: carbon cost on specified imports to prevent **carbon leakage** (production moving to jurisdictions with weaker carbon constraints). Six initial sectors: **iron/steel, aluminium, cement, fertilisers, electricity, hydrogen**.

- Transitional reporting began October 2023; definitive regime **1 January 2026**. EU importer/authorised declarant reports embedded emissions and surrenders corresponding certificates, with adjustments including carbon price effectively paid abroad.

- Certificate prices track EU ETS auction prices: **quarterly averages in 2026**, weekly from 2027. Purchases for 2026 obligations begin in **February 2027**; first declaration/surrender deadline **30 September 2027**.
- **50-tonne annual threshold** applies to the covered mass-based goods; **electricity/hydrogen are treated separately**, not universally exempt below 50 tonnes.
- India: potential cost/competitiveness pressure especially on steel/aluminium; improve verified emissions data and decarbonisation. India's Carbon Credit Trading Scheme (2023), following the Energy Conservation amendment (2022), does not automatically cancel CBAM liability; qualifying carbon payments/recognition matter.
- Concerns: trade discrimination, developing-country capacity and climate equity/CBDR; balance against leakage prevention. Do not claim all Indian exports bear a fixed full tariff or that CBAM covers all sectors.

EU definitive-regime rules; sector/threshold guidance; certificate pricing; first compliance deadline.

PYQ revision and mains frameworks

Year	Key idea
2025	Poultry/wool rearing are not automatically exempt agricultural income; rural agricultural land is excluded from capital assets
2025	ED belongs to Department of Revenue, not MHA; DRI and DG Systems/Data Management rows are matched
2018	Equalisation levy was separate from Income-tax Act; source answer key 'a' contradicts the statements: correct concept is **neither statement**
2017	GST supports a common market; does not guarantee dramatic CAD reduction or overtaking China
2015	Supplied key links lower tax/GDP to slowing growth; ratio alone cannot diagnose growth or inequality
2011	VAT is multi-stage/destination-based; not exclusively a Union subject
2010	Historical declining share question: excise duty; do not substitute current GST-era data

Mains 2020 (GST compensation): legal guarantee → COVID revenue collapse → cess shortfall/borrowing → federal trust and fiscal-space issues → transparent settlements and cooperative solutions.

Mains 2019 (subsumed taxes/revenue): list Union/state taxes, then assess compliance, rate cuts, transition costs, refunds, buoyancy and distribution.

Mains 2013 (rationale/delay): cascading/common market → Centre-state revenue autonomy → constitutional changes, compensation and IT/rate design → negotiated cooperative federalism.

Good tax system: equity/fairness, adequate revenue, simplicity, transparency and low administration/compliance cost; add certainty and predictable enforcement. Broaden the base, reduce avoidable exemptions, improve services and target evasion without arbitrary demands.